later called ‘Emergency Credit Facility’. This envisaged 20 per cent additional loans automatically to about 45 lakh standard MSME borrowers with existing outstanding loans between Rs 25 crore and Rs 100 crore. These loans were to be given for a period of four years with one year of moratorium on any servicing of loans and would be backed by a ‘no-questions-asked’ government guarantee for 100 per cent of the loan. Later on, the scope of the scheme was expanded to many other sectors, the quantum and extent of additional credit available was increased and timelines were extended multiple times. At the close of calendar year 2021, the limit of guaranteed loans was Rs 4.5 lakh crore.

There was slow offtake under the scheme, though the additional exposure of banks was covered fully by the government guarantee. By the end of October 2020, less than half of the guarantee amount (Rs 1.45 trillion) was actually committed. The government made a provision of Rs 4000 crore in the budget of financial year 2020–21 for equity contribution to National Credit Guarantee Trustee Company Ltd. The guaranteed credit facility did not get committed even by the end of the financial year. The banks could not disburse Rs 3 lakh crore of loans even by the end of December 2021; the total amount sanctioned was Rs 2.82 lakh crore in November 2021 and disbursed amount much less at less than 2.5 lakh crore), which amount to less than 3 per cent of the overall outstanding bank credit.

For non-performing MSMEs, the government announced a Rs 20,000 crore Subordinate Debt Facility. Under this facility, banks were expected to provide loans to about 2 lakh non-performing/in-default MSMEs, which it would cover by a 20 per cent partial risk guarantee through the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTSME). The government promised to provide grant support of Rs 4000 crore to CGTMSE for this purpose. The Rs 20,000 crore Subordinate Loan Facility suffered from a birth defect. These MSEs were non-performing and in